Canada Revenue Agency / Agence du revenu du Canada

Corporation Loss Continuity and Application
(2024 and later tax years)

Schedule 4
Code 2401
Protected B when completed

Corporation's name	Business number	Tax year-end Year Month Day
		2024/12/31

- Use this form to determine the continuity and use of available losses; to determine a current-year non-capital loss, farm loss, restricted farm loss, limited partnership loss, or restricted interest and financing expense; to determine the amount of restricted farm losses, limited partnership losses, and restricted interest and financing expenses that can be applied in a year; and to ask for a loss carryback to previous years.
- A corporation can choose whether or not to deduct an available loss from income in a tax year. The corporation can deduct losses in any order. However, for each type of loss, deduct the oldest loss first.
- All legislative references are to the Income Tax Act.
- According to subsection 111(4), when control has been acquired, no amount of capital loss incurred in a tax year ending before that time is deductible when calculating taxable income for a tax year ending after that time. Also, no amount of capital loss incurred in a tax year ending after that time is deductible when calculating taxable income for a tax year ending before that time.
- When control has been acquired, subsection 111(5) provides for similar treatment of non-capital and farm losses, except as listed in paragraphs 111(5)(a) and (b).
- For information on these losses, see Guide T4012, T2 Corporation - Income Tax.
- File this schedule with the T2 return, or send the schedule by itself to the tax centre where the return is filed.

Part 1 - Non-capital losses

Determination of current-year non-capital loss

Net income (loss) for income tax purposes			1A
Restricted interest and financing expenses (RIFE) deducted in the year (enter as a positive amount)		1B	
Net capital losses deducted in the year (enter as a positive amount)		1C	
Taxable dividends deductible under section 112 or subsections 113(1) or 138(6)		1D	
Amount of Part VI.1 tax deductible under paragraph 110(1)(k)		1E	
Amount deductible as prospector's and grubstaker's shares - Paragraph 110(1)(d.2)		1F	
Employer deduction for non-qualified securities - Paragraph 110(1)(e)		1G	
Subtotal (total of amounts 1B to 1G)	►		1H
Subtotal (amount 1A minus amount 1H; if positive, enter "0")			1I
Section 110.5 or subparagraph 115(1)(a)(vii) - Addition for foreign tax deductions			1J
Subtotal (amount 1I minus amount 1J)			1K
Current-year farm loss (the lesser of: the net loss from farming or fishing included in income and the non-capital loss before deducting the farm loss)			1L
Current-year non-capital loss (amount 1K plus amount 1L; if positive, enter '0'			1M

If amount 1M is negative, enter it on line 110 as a positive amount.

Continuity of non-capital losses and request for a carryback

Non-capital loss at the end of the previous tax year			1N	
Non-capital loss expired [1]	100			
Non-capital losses at the beginning of the tax year (amount 1N minus line 100)	102		►	
Non-capital losses transferred on an amalgamation or on the wind-up of a subsidiary [2] corporation	105			
Current-year non-capital loss (from amount 1M)	110			
Subtotal (line 105 plus line 110)			►	1O
Subtotal (line 102 plus amount 1O)				1P

1 A non-capital loss expires after 20 tax years and an allowable business investment loss becomes a net capital loss after 10 tax years.

2 Subsidiary is defined in subsection 88(1) as a taxable Canadian corporation of which 90% or more of each class of issued shares are owned by its parent corporation and the remaining shares are owned by persons that deal at arm's length with the parent corporation.

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Part 1 - Non-capital losses (continued)

Other adjustments (includes adjustments for an acquisition of control)	150			
Section 80 - Adjustments for forgiven amounts	140			
Non-capital losses of previous tax years applied in the current tax year	130			
Enter the amount from line 130 on line 331 of the T2 return.				
Current and previous years non-capital losses applied against current-year taxable dividends subject to Part IV tax 3	135			
Subtotal (total of lines 150, 140, 130 and 135)			►	1Q
Non-capital losses before any request for a carryback (amount 1P minus amount 1Q)				1R

Request to carry back non-capital loss to:

First previous tax year to reduce taxable income	901			
Second previous tax year to reduce taxable income	902			
Third previous tax year to reduce taxable income	903			
First previous tax year to reduce taxable dividends subject to Part IV tax	911			
Second previous tax year to reduce taxable dividends subject to Part IV tax	912			
Third previous tax year to reduce taxable dividends subject to Part IV tax	913			
Total of requests to carry back non-capital losses to previous tax years (total of lines 901 to 913)			►	1S
Closing balance of non-capital losses to be carried forward to future tax years (amount 1R minus amount 1S)	180			

3 Line 135 is the total of lines 330 and 335 from Schedule 3, Dividends Received, Taxable Dividends Paid, and Part IV Tax Calculation.

Part 2 - Capital losses

Continuity of capital losses and request for a carryback

Capital losses at the end of the previous tax year	200			
Capital losses transferred on an amalgamation or on the wind-up of a subsidiary corporation	205			
Subtotal (line 200 plus line 205)			►	2A
Other adjustments (includes adjustments for an acquisition of control)	250			
Section 80 - Adjustments for forgiven amounts	240			
Subtotal (line 250 plus line 240)			►	2B
Subtotal (amount 2A minus amount 2B)				2C
Current-year capital loss (from the calculation on Schedule 6, Summary of Dispositions of Capital Property)	210			
Unused non-capital losses from the 11th previous tax year 4				2D
Allowable business investment losses (ABILs) that expired as non-capital losses at the end of the previous tax year 5				2E
Enter amount 2D or 2E, whichever is less	215			
ABILs expired as non-capital losses (line 215 multiplied by 2)	220			
Subtotal (amount 2C plus line 210 plus line 220)				2F

Note:
If there has been an amalgamation or a wind-up of a subsidiary, do a separate calculation of the ABIL expired as non-capital loss for each predecessor or subsidiary corporation. Add all these amounts and enter the total on line 220.

4 Determine the amount of the non-capital loss from the 11th previous tax year, and enter the part of the non-capital loss that was not deducted in the previous 11 years.

5 Enter the amount of the ABILs from the 11th previous tax year. Enter the full amount on amount 2E.

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Part 2 - Capital losses (continued)

Capital losses from previous tax years applied against the current-year net capital gain 6 — 225

Capital losses before any request for a carryback (amount 2F minus line 225) — 2G

Request to carry back capital loss to: 7

First previous tax year	951	
Second previous tax year	952	
Third previous tax year	953	
Subtotal (total of lines 951 to 953)		2H

Closing balance of capital losses to be carried forward to future tax years (amount 2G minus amount 2H) 8 — 280

6 To get the net capital losses required to reduce the taxable capital gain included in the net income (loss) for the current tax year, enter the amount from line 225 divided by 2 at line 332 of the T2 return.

7 On line 225, 951, 952, or 953, whichever applies, enter the actual amount of the loss. When the loss is applied, divide this amount by 2. The result represents the 50% inclusion rate.

8 Capital losses can be carried forward indefinitely.

Part 3 - Farm losses

Continuity of farm losses and request for a carryback

Farm losses at the end of the previous tax year		3A
Farm loss expired 9	300	
Farm losses at the beginning of the tax year (amount 3A minus line 300)	302	
Farm losses transferred on an amalgamation or on the wind-up of a subsidiary corporation	305	
Current-year farm loss (amount 1L in Part 1)	310	
Subtotal (line 305 plus line 310)		3B
Subtotal (line 302 plus amount 3B)		3C
Other adjustments (includes adjustments for an acquisition of control)	350	
Section 80 - Adjustments for forgiven amounts	340	
Farm losses of previous tax years applied in the current tax year	330	

Enter the amount from line 330 on line 334 of the T2 Return.

Current and previous years farm losses applied against current-year taxable dividends subject to Part IV tax 10	335	
Subtotal (total of lines 350, 340, 330 and 335)		3D
Farm losses before any request for a carryback (amount 3C minus amount 3D)		3E

Request to carry back farm loss to:

First previous tax year to reduce taxable income	921	
Second previous tax year to reduce taxable income	922	
Third previous tax year to reduce taxable income	923	
First previous tax year to reduce taxable dividends subject to Part IV tax	931	
Second previous tax year to reduce taxable dividends subject to Part IV tax	932	
Third previous tax year to reduce taxable dividends subject to Part IV tax	933	
Subtotal (total of lines 921 to 933)		3F

Closing balance of farm losses to be carried forward to future tax years (amount 3E minus amount 3F) — 380

9 A farm loss expires after 20 tax years.

10 Line 335 is the total of lines 340 and 345 from Schedule 3.

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Part 4 - Restricted farm losses

Current-year restricted farm loss

Total losses for the year from farming business — 485

(line 485 — - $2,500) divided by 2 — 4A

Amount 4A or $15,000, whichever is less — 4B

2,500 — 4C

Subtotal (amount 4B plus amount 4C) — 4D

Current-year restricted farm loss (line 485 minus amount 4D) — 4E

Continuity of restricted farm losses and request for a carryback

Restricted farm losses at the end of the previous tax year — 4F

Restricted farm loss expired (note 11) — 400

Restricted farm losses at the beginning of the tax year (amount 4F minus amount 400) — 402

Restricted farm losses transferred on an amalgamation or on the wind-up of a subsidiary corporation — 405

Current-year restricted farm loss (from amount 4E) — 410

Enter the amount from line 410 on line 233 of Schedule 1, Net Income (Loss) for Income Tax Purposes.

Subtotal (line 405 plus line 410) — 4G

Subtotal (line 402 plus amount 4G) — 4H

Restricted farm losses from previous tax years applied against current farming income — 430

Enter the amount from line 430 on line 333 of the T2 return.

Section 80 - Adjustments for forgiven amounts — 440

Other adjustments — 450

Subtotal (total of lines 430 to 450) — 4I

Restricted farm losses before any request for a carryback (amount 4H minus amount 4I) — 4J

Request to carry back restricted farm loss to:

First previous tax year to reduce farming income — 941

Second previous tax year to reduce farming income — 942

Third previous tax year to reduce farming income — 943

Subtotal (total of lines 941 to 943) — 4K

Closing balance of restricted farm losses to be carried forward to future tax years (amount 4J minus amount 4K) — 480

Note: The total losses for the year from all farming businesses are calculated without including scientific research expenses.

11 A restricted farm loss expires after 20 tax years.

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Part 5 - Listed personal property loss

Continuity of listed personal property losses and request for a carryback

Listed personal property losses at the end of the previous tax year			5A
Listed personal property loss expired 12	500		
Listed personal property losses at the beginning of the tax year (amount 5A minus line 500)	502	►	
Current-year listed personal property loss (from Schedule 6)		510	
Subtotal (line 502 plus line 510)			5B
Listed personal property losses from previous tax years applied against listed personal property gains	530		
Enter the amount from line 530 on line 655 of Schedule 6.			
Other adjustments	550		
Subtotal (line 530 plus line 550)		►	5C
Listed personal property losses remaining before any request for a carryback (amount 5B minus amount 5C)			5D

Request to carry back listed personal property loss to:

First previous tax year to reduce listed personal property gains	961		
Second previous tax year to reduce listed personal property gains	962		
Third previous tax year to reduce listed personal property gains	963		
Subtotal (total of lines 961 to 963)		►	5E
Closing balance of listed personal property losses to be carried forward to future tax years (amount 5D minus amount 5E)	580		

12 A listed personal property loss expires after seven tax years.

Part 6 - Analysis of balance of losses by year of origin

1 Year of origin YYY/MM/DD 13	2 Non-capital losses 14	3 Farm losses	4 Restricted farm losses	5 Listed personal property losses
2004/12/31				
2005/12/31				
2006/12/31				
2007/12/31				
2008/12/31				
2009/12/31				
2010/12/31				
2011/12/31				
2012/12/31				
2013/12/31				
2014/12/31				
2015/12/31				
2016/12/31				
2017/12/31				
2018/12/31				
2019/12/31				
2020/12/31				
2021/12/31				
2022/12/31				
2023/12/31				
2024/12/31				
Totals				

13 Enter each loss by year of origin, starting with the current year and going down to the 20th previous year.

14 A non-capital loss expires after 20 tax years and an allowable business investment loss becomes a net capital loss after 10 tax years

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Part 7 - Limited partnership losses

Protected B when completed

Current-year limited partnership losses

1 Partnership account number 600	2 Tax year ending YYYY/MM/DD 602	3 Corporation's share of limited partnership loss 604	4 Corporation's at-risk amount 606	5 Total of corporation's share of partnership investment tax credit, clean economy tax credit, farming losses, and resource expenses 15 608	6 Column 4 minus column 5 (if negative, enter "0")	7 Current-year limited partnership losses (column 3 minus column 6) 620

Total (enter this amount on line 222 of Schedule 1)

Limited partnership losses from previous tax years that may be applied in the current year

1 Partnership account number 630	2 Tax year ending YYYY/MM/DD 632	3 Limited partnership losses at the end of the previous tax year and amounts transferred on an amalgamation or on the wind-up of a subsidiary 634	4 corporation's at-risk amount 636	5 Total of corporation's share of partnership investment tax credit, clean economy tax credit, business or property losses, and resource expenses 15 638	6 Column 4 minus column 5 (if negative, enter "0")	7 Limited partnership losses that may be applied in the year (the lesser of columns 3 and 6) 650

Continuity of limited partnership losses that can be carried forward to future tax years

1 Partnership account number 660	2 Limited partnership losses at the end of the previous tax year 662	3 Limited partnership losses transferred in the year on an amalgamation or on the wind-up of a subsidiary 664	4 Current-year limited partnership losses (from line 620) 670	5 Limited partnership losses applied in the current year (must be equal to or less than line 650) 675	6 Current year limited partnership losses closing balance to be carried forward to future years (column 2 plus column 3 plus column 4 minus column 5) 680
Total		Total (enter this amount on line 335 of the T2 return)			

If you need more space, you can attach more schedules.

[15] Clean economy tax credit is defined in subsection 127.47(1).

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Part 8 - Restricted interest and financing expenses (RIFE)

Continuity of RIFE

RIFE at the end of the previous tax year	700			
RIFE transferred on an amalgamation or on the wind-up of a subsidiary corporation	705			
RIFE adjustments for an acquisition of control	750			
Subtotal (line 700 plus line 705 minus line 750)			►	8A

Enter amount 8A on line 128 in Part 2J of Schedule 130, Excessive Interest and Financing Expenses Limitation.

Current-year restricted interest and financing expense determined under subsection 111(8) (amount A from Part 2O of Schedule 130)	710	
RIFE deducted for the tax year 16	730	

Enter the amount from line 730 on line 336 of the T2 return.

Closing balance of RIFE (amount 8A plus line 710 minus line 730)	780	

16 The amount deducted must not exceed amount B in Part 2J of Schedule 130.

Part 9 - Election under paragraph 88(1.1)(f)

If you are making an election under paragraph 88(1.1)(f), check the box 190 ☐ Yes

In the case of the wind-up of a subsidiary, if the election is made, the non-capital loss, restricted farm loss, farm loss, or limited partnership loss of the subsidiary-that otherwise would become the loss of the parent corporation for a particular tax year starting after the wind-up began-will be considered as the loss of the parent corporation for its immediately preceding tax year and not for the particular year.

Note
This election is only applicable for wind-ups under subsection 88(1) that are reported on Schedule 24, First-Time Filer after Incorporation, Amalgamation, or Winding-up of a Subsidiary into a Parent.

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